Chapter 3 Revenue Recognition

In our examples so far, I've looked at a simple accounting system. Whenever cash is received, we make revenue and whenever cash is spent, we incur expenses. In this chapter, I will look at two approaches: the simple cash basis and the (more commonly used) accrual basis for determining when we made and spent money.

Cash Basis

In the Cash Basis approach, it is simple to determine when you made revenue. As soon as you get paid! So, if you sell a product on December 19th of this year for $4,000 but don't get paid until January 5th of next year, you don't report that $4,000 this year (since you haven't been paid yet), you report it in the year you are paid (i.e., next year).

Your expenses are not recorded until you pay them. In essence, your checkbook can act as your accounting system.

Simple example

If we take the entries from the first two chapters and move them into a checkbook register, our records might look like the following:

Number	Date	Description of Transaction	C	Debit (-)	Credit (+)	Balance
	1/1/07	Owner Contribution			$10,000	$10,000
101	10/2/14	Computer Purchase	√	$1,000		$9,000
102	10/3/14	Visual Studio Software	√	$394		$8,606
103	10/4/14	Syncfusion Library		$400		$8,206
104	10/5/14	Subscription	√	$99		$8,107
105	10/31/14	Computer Loan Payment		$1,000		$7,107
DEP	11/2/14	Client Logo Design			$250	$7,357